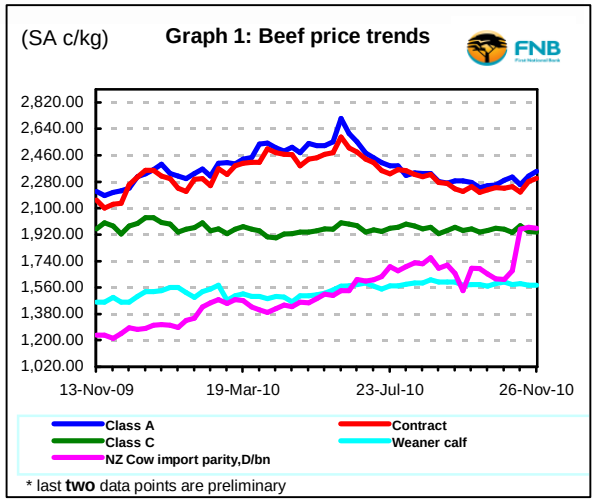
12 November 2010

Beef market trends (Graph 1)

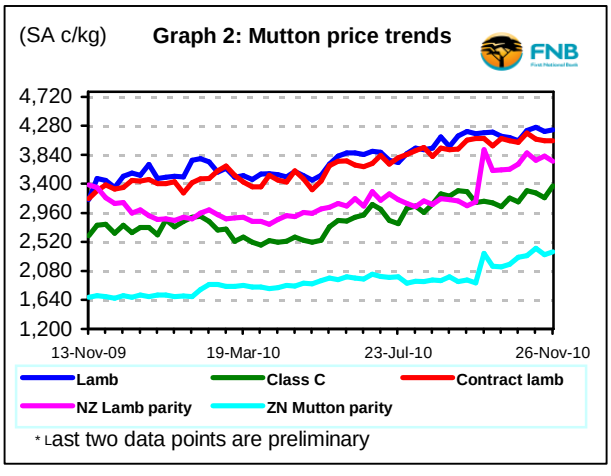


- International: US domestic lean manufacturing beef prices eased lower on weak seasonal demand and heavy supplies. Boxed beef cut-out prices, an indicator of domestic beef at wholesale level, declined due to light demand and moderate to heavy supplies. CME feeder cattle index ended marginally higher by 0.1% w/w and was 19.1% higher y/y. The estimated number of cattle slaughtered came in at 661,000, up 1.5% w/w and 5.4% y/y. Meanwhile, fed cattle numbers for October were reported up 3% y/y at 10.8m head. In Australia, cattle prices held their ground despite improved supplies due to good demand. Supplies were reported up 21% w/w. The Eastern Young Cattle Indicator (EYCI) rose by 1.2% w/w, but the cow market slipped 2.5% w/w.
- Domestic: Beef prices softened slightly on light demand associated with the midmonth period. Prices for Class A and Contract Class A beef were softer and closed at R22.59/kg and R22.09/kg respectively. Class C's were however the exception, managing to gain 2.3% w/w to close at R19.81/kg. Weaner calf prices moved marginally higher by 0.5% w/w to close at R15.86/kg live weight, which is almost 9% higher y/y. Grazing conditions have not improved in many areas but good rains could raise the demand for weaners in the weeks ahead.

OUTLOOK

Beef prices are expected to trend upwards in the medium term due to the seasonal increase in demand.

Mutton market trends (Graph 2)



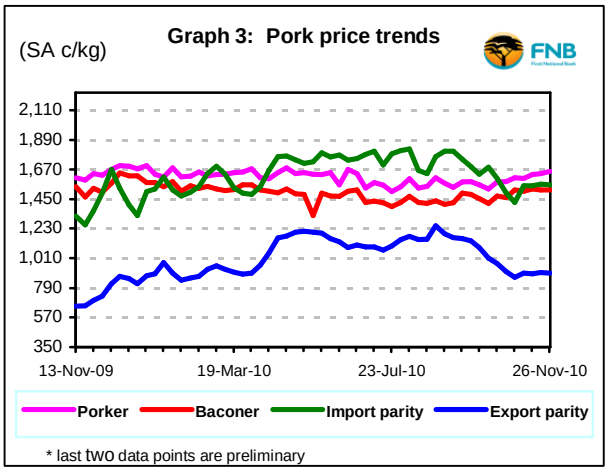
- International: US domestic slaughter lambs, ewes and feeder lambs ended moderate to sharply higher for the week. Lamb carcass cutout value was up 1.7% w/w and almost 51% higher y/y. The estimated number of sheep slaughtered was up 4.4% w/w at 47,000, but down 7.8% y/y. In Australia, lamb prices were up across the heavier categories with trade lamb prices up 1.3% w/w. Lamb supplies were 25% higher w/w but almost 8% lower y/y and mostly of good quality.
- Domestic: Lamb and mutton prices ended mixed on light uptake on markets. Weekly Class A lamb, Class C and Class A contract closed R42.61/kg, R32.63/kg and R40.80/kg respectively. Feeder lamb prices were steady and closed at R19.83/kg, up 25% y/y.

OUTLOOK

Lamb and mutton prices are still at their best levels and will retain upward potential well into the festive season.

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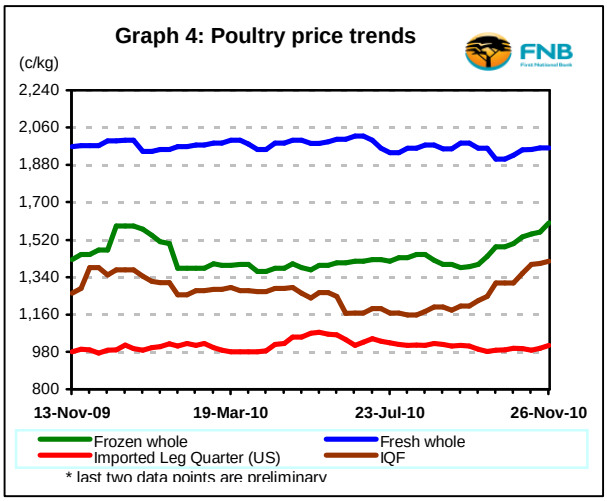
Pork market trends (Graph 3)



- International: US pork prices steady to firmer across most categories with the exception of loins. Weekly loin prices eased slightly lower on moderate to good supplies and limited demand. Hams moved sideways under pressure on abundant supplies but firmed late in the week on improved buying interest. Ribs were the gainers, closing up 3% w/w and were almost 43% higher y/y. Pork production for the week was 479.1m pounds, down 0.4% w/w but up 2.4% y/y.
- Dometic: Local porker and baconer prices were steady to firmer. Weekly prices closed at R16.31/kg and R15.23/kg respectively. Import parity remained firm despite a firmer Rand. Pork imports increased by a whopping 41% m/m in October and came in at 2,242 tons, which is 0.6% higher y/y. Year to date imports totaled 20,752 tons, down 9.4% y/y. The major suppliers were Germany with 1,180 tons (53%), 327 tons from Canada (15%), 237 tons from France (11%), 224 tons from Belgium (10%), 50 tons from Denmark (2%), 124 tons from Spain (6%) and Others 101 tons(4%).
- **OUTLOOK**

Prices are expected to remain firm in the short term, strengthening slightly in the medium term due to the seasonal increase in demand.

Poultry market trends (Graph 4)



- International: US domestic prices continued to trend lower on moderate to heavy supplies and limited demand. Movement in portion prices was light to moderate. Weekly broiler egg sets and chick placements for the week ended November 6 were both reported up 5% y/y. The estimated number available for marketing during the week ending December 18 came in at 150.6m head, down 0.1% compared to the week earlier.
- Domestic: Weekly prices ended firmer across the board. Weekly fresh, frozen whole birds and IQF traded at R15.46/kg, R19.56/kg and R14/kg respectively. Import parity prices eased marginally lower on the back of a stronger Rand and lower international prices. The broiler-feed price ratio has remained good in the last 6 months suggesting improved profitability for chicken producers. This is largely due to relatively low maize prices. Improved producer margins typically leads to a boost in chicken production.

OUTLOOK

Domestic prices are expected to firm slightly in the medium term due to the seasonal increase in demand.

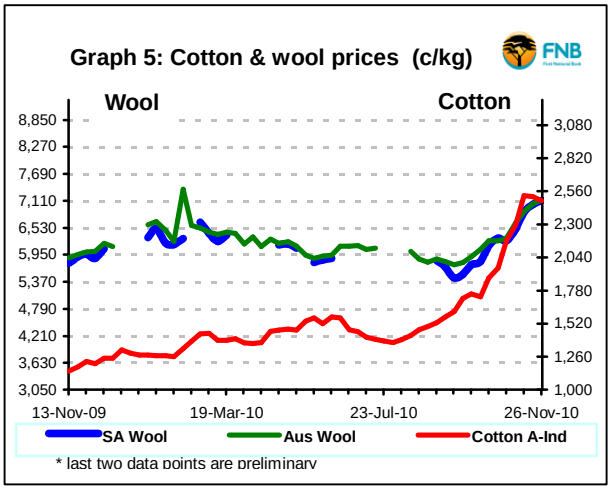
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Producer prices for selected livestock commodities 12 November 2010	Beef	Mutton	Pork	Poultry
Open market: Class A / Porker / Fresh whole birds(R/kg)	22.59	42.61	16.31	19.56
Open market: Class C / Baconer / Frozen whole birds(R/kg)	19.81	32.63	15.20	15.46
Contract: A2/A3* / Baconer/ IQF (*includes fifth quarter) (R/kg)	22.09	40.80	15.23	14.00
Import parity price (R/kg)	19.56	24.23	15.46	9.88
Weaner Calves / Feeder Lambs (R/kg)	15.86	19.83		

Wool and cotton market trends (Graph 5)



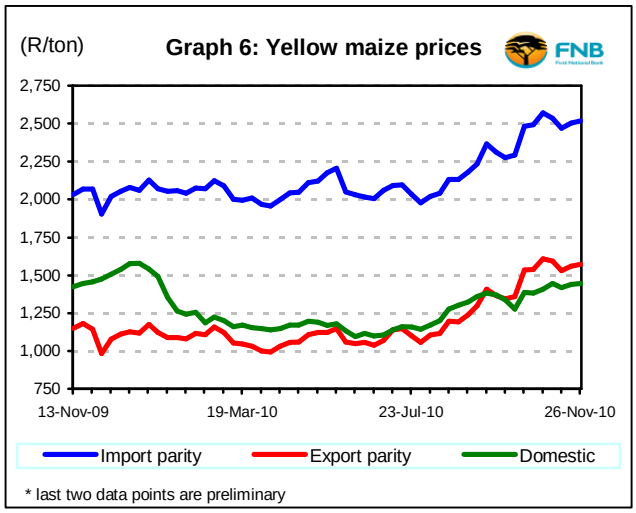
- International: Cotton prices maintained an upward trend due to concerns over tightening supplies and strong demand. Prices rose by 10.3% w/w and 137% y/y to close at 167c/lb. Cotton futures: Mar-11 closed down 2.8% w/w at 134.18c/lb, May-11 down 3% w/w at 130.5c/lb, Jul-11 down 3.2% w/w at 126.59c/lb, Oct-11 down 1.7% w/w at 112.59c/lb. Wool: In Australia, the market continued to post strong gains on good demand despite a firmer Australian dollar. The weekly market indicator EMI reached a new seasonal high of A$10.32/kg, up 4.2% w/w and 21% y/y.
- Domestic: Wool prices again strengthened supported by strong demand and concerns over tightening supplies. The weekly market indicator (Cape Wools Merino) gained 5.6% w/w to close at R68.99/kg clean wool, which is 14.6% and 19% higher than the opening sale and current season's average respectively. Major buyers were G Modiano SA with 3,490 bales (37.5%), Standard Wool SA with 2,781 bales (29.9%), Lempriere SA with 1,084 bales (11.7%), Stucken & Co with 984 bales (10.6%), Segard Masurel SA with 752 bales (8.1%), New England Wool SA with 111 bales (1.2%). Sales reached 99% of the 9,306 bales offered.

Fibre market prices 12 November 2010	SA prices (R/kg)	Australian prices (R/kg)	Australian futures Mar-11 (AU$/kg)	Australian futures Jul-11 (AU$/kg)
Wool market indicator (R/kg)	68.66	68.79		
19μ long length wool (R/kg)	87.09	88.31	11.88	11.75
21μ long length wool (R/kg)	68.80	70.74	9.68	9.55
23μ long length wool (R/kg)	-	63.48	8.78	8.65
	SA derived Cotton (R/kg)	**New York A-Index (US$/kg)**	**New York future Mar-11 (US$/kg)**	**New York future May-11 (US$/kg)**
Cotton Prices (R/kg)	25.28	3.67	2.95	2.87

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Yellow maize market (Graph 6)



- International: US yellow maize prices posted modest losses on general weakness in commodities triggered by concerns that China will raise interest rates which may curtail demand for key commodities. Meanwhile, USDA lowered crop yields and production to 318.3m tons with ending stocks below expectations at 21m. The stocks/usage ratio for the end of the 2010/11 marketing year was estimated at 6.2%, the second lowest in history. World ending stocks were down to 129.2m tons compared with 148m tons last year. China production was raised to 168m tons.
- Domestic: Yellow maize prices eased slightly lower on the back of a firmer Rand and the spill over weakness on international markets. Weekly yellow maize prices closed at R1,418/ton, down 1.9% w/w and 0.4% y/y. Yellow maize import parity price was down 2.6% w/w but still up 22% y/y. Weekly yellow maize deliveries increased slightly, coming in at 4.3m tons. Weekly yellow maize export sales dropped sharply to 1,082 tons, bringing total sales 500,900 tons. Weekly yellow maize Safex futures were softer across the board: Dec-10 closed down 1.3% w/w (-R18), Mar-11 down 1.2% w/w (-R18/t), May-11 down 1% w/w (-R15/t), Jul-11 down 1.8% w/w (-R27/t).

OUTLOOK

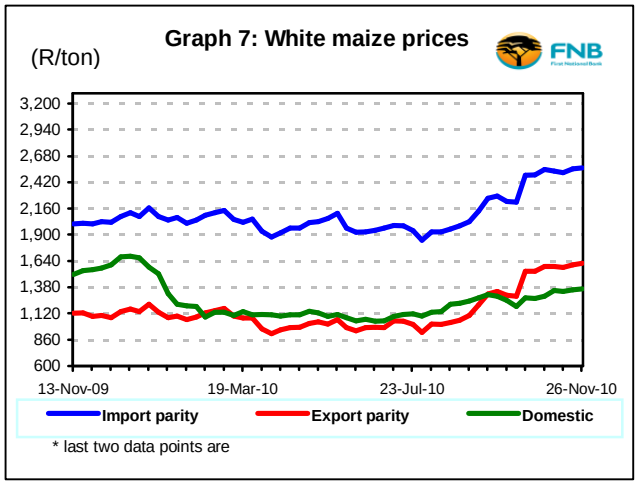
Prices are expected to firm slightly in the short term but a stronger Rand will limit further gains.

Yellow Maize Futures 12 November 2010	Mar-11	May-11	Jul-11	Sep-11	Dec-11
CBOT ($/t)	210.40	215.91	218.75	220.09	208.82
SAFEX (R/t)	1,416	1,439	1,460	1,464	-
CHICAGO CORN (R/t)	1,540	1,598	-	1,654	-

Calculated Yellow Maize Options prices (R/ton) RMB commodity desk (Tel: 011 269 9005)

Dec-10			Mar-11			May-11		
Ask	Put	Call	Ask	Put	Call	Ask	Put	Call
1,460	62	18	1,480	124	83	1,500	158	118
1,420	37	33	1,440	102	101	1,460	135	135
1,380	19	55	1,400	81	120	1,420	114	154

White maize market trends (Graph 7)



- International: US white maize prices eased marginally lower for the week. Weekly prices were down 0.8% w/w and but still up 47% y/y, closing at $232/ton.
- Domestic: White maize prices posted marginal losses on Rand strength and weaker international prices. Weekly white maize prices were up 0.9% w/w and closed at R1,337/ton, but still down 11% y/y. White maize import parity moved sideways for the week. Weekly white maize deliveries to the country's silos increased slightly to 7.33m tons. Total maize deliveries advanced to 11.6m tons. Export sales dropped sharply w/w, coming in at 6,691 tons, raising total white maize sales for the

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season to 340,932 tons with total maize sales (WM + YM) now at 841,832 tons. White maize (WM) futures on Safex: Dec-10 was down 1.5% w/w (-R20/t), Mar-11 down 1.3% w/w (-R18/t), May-11 down 1.6% w/w (-R23/t), Jul-11 down 1.8% w/w (-R26/t)

OUTLOOK

Prices are expected to firm slightly in the short term but with limited upward potential in the medium term due to Rand strength.

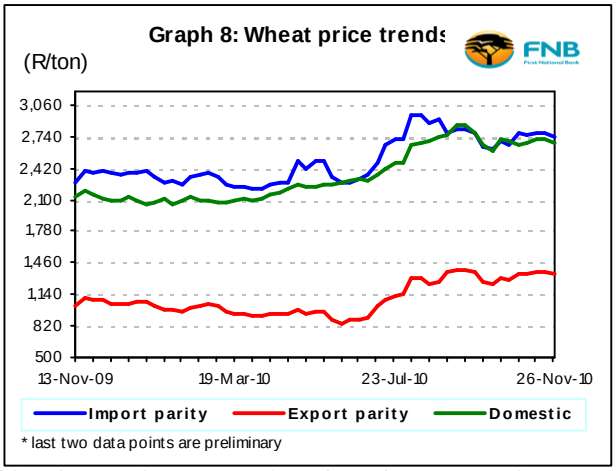
White Maize Futures 12 November 2010	Mar-11	May-11	Jul-11	Sep-11	Dec-11
SAFEX (R/t) WM1	1,326	1,357	1,376	1,391	-

Calculated White Maize Options prices (R/ton) RMB commodity desk (Tel: 011 269 9005)

Dec-10			Mar-11			May-11		
Ask	Put	Call	Ask	Put	Call	Ask	Put	Call
1,360	50	16	1,400	134	91	1,420	153	109
1,320	26	32	1,360	111	108	1,380	130	126
1,280	12	58	1,320	90	127	1,340	109	145

Wheat market trends (Graph 8)

- International: Wheat prices posted modest gains on strong export demand.. Wheat export sales for the current marketing year came in above expectations at 832,000 tons. The USDA monthly supply and demand report lowered wheat ending stocks and production by 1% to 23.1m tons and 60.1m tons respectively. Argentina's production was raised by 1.5m from last month to 13.5m. Australian production was raised to 24m tons compared to 23m previously. Global production was up to 642.89m compared to 641.44m tons last month. Ending stocks were pegged at 172.51m tons, down 2.2m tons.



- Domestic: Domestic wheat prices ended marginally higher on the back of higher international prices. Weekly wheat prices on Safex closed at R2,716/ton, up 1.8% w/w and 26% y/y. Wheat import parity prices ended up 1% w/w and 24% y/y. Wheat imports dropped sharply, coming in at 8,545 tons compared to 39,128 tons a week earlier. This raises the cumulative number for the year to date to 183,986 tons. Wheat futures on Safex: Dec-10 was up 1.5% w/w (+R40/t), Mar-11 was up 1.7% w/w (+R47/t), and May-11 was up 2.5% w/w (+ R70/t).

- **OUTLOOK**

Domestic prices are expected to trend sideways to lower in the short term due to downside correction on international markets.

Wheat Futures 12 November 2010	Mar-11	May-11	Jul-11	Sep-11	Dec-11
KCBT ($/t)	274.02	277.60	279.34	282.19	-
SAFEX (R/t)	2,780	2,829	2,840	2,871	-

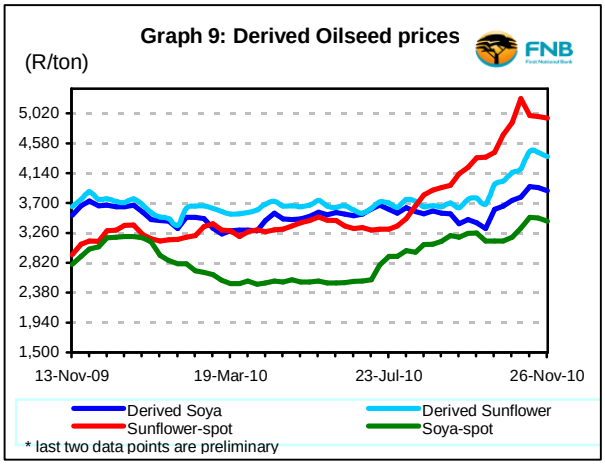
Calculated Wheat Option prices (R/ton) RMB commodity desk (Tel: 011 269 9005)

Dec-10			Mar-11			May-11		
Ask	Put	Call	Ask	Put	Call	Ask	Put	Call
2,780	67	17	2,820	162	122	2,860	180	149
2,740	42	32	2,780	140	140	2,820	158	167
2,700	24	54	2,740	120	160	2,780	138	187

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Oilseed market trends (Graph 9)



- International: US soybean prices continued to trend higher on bullish USDA report, which reduced the yield from 2.99t/ha in the previous estimate to 2.95t/ha. Overall production estimate came in below expectations at 91.9m tons. World ending stocks for 2010/1 were almost unchanged at 61.41m tons. Brazil production was pegged at 67.5m tons and Argentina at 52m tons. Futures in the soybean complex were at record highs, with soybean and soybean oil at their highest levels since Jun-09 and Sep-08 respectively. Weekly soybean, soymeal and soyoil up 4.2%, 3% and 7.9% w/w respectively.
- Domestic: Oilseed prices traded on Safex ended mixed, with soybeans posting modest gains supported by higher international prices. Soybeans were up 4.8% w/w and closed at R3,491/ton, up 25% y/y. Sunflower prices on the other hand eased modestly lower, closing down 4.8% w/w at R4,988/ton but still 70% higher y/y. Weekly soybean futures on Safex: Dec-10 closed up 3.4% w/w (+R115/t), Mar-11 was up 3.6% w/w (+R120/t), May-11 up 3.5% w/w (+R105/t). Sunflower futures on Safex: Dec-10 was down 8% w/w (-R422/t), May-11 up 0.1% w/w (+R3/t), May-11 up 0.1% w/w (+R3/t).

OUTLOOK

It is expected that soybean prices will soften slightly due to the spill over weakness on the international.

Oilseeds Futures 12 November 2010	Mar-11	May-11	Jul-11	Sep-11	Dec-11
CBOT Soybeans (US $/t)	469.22	469.00	469.44	445.77	-
CBOT Soya oil (US c/lb)	53.20	53.48	53.72	53.76	54.02
CBOT Soya cake meal (US $/t)	344.00	341.20	339.90	322.30	301.00
SAFEX Sunflower seed (R/t)	4,710	3,840	3,800	-	-
SAFEX Soybean seed (R/t)	3,440	3,115	3,178	-	-

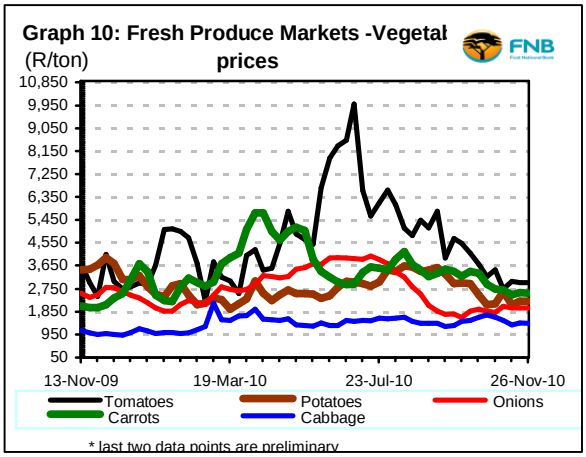
Calculated Wheat Option prices (R/ton) RMB commodity desk (Tel: 011 269 9005)

Dec-10			Mar-11			May-11		
Ask	**Put**	**Call**	**Ask**	**Put**	**Call**	**Ask**	**Put**	**Call**
4,880	125	83	4,760	363	313	3,880	350	310
4,840	103	101	4,720	341	331	3,840	327	327
4,800	84	122	4,680	320	350	3,800	306	346

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Vegetable market trends (Graph 10)



- **Tomatoes**
  Tomato prices increased sharply on reduced supplies on markets. Prices increased by 11% w/w but were down 18.7% y/y, closing at R3,043/ton. Volumes traded were pegged at 4,417 tons, down 11.6% w/w but still up 5.1% y/y. Prices are however expected to move sideways in the short term.
- **Potatoes**
  Potato prices decreased sharply due to limited uptake on markets. Prices were down 20.1% w/w and 39.8% y/y, closing at R2,108/ton. Volumes traded increased by 3.6% w/w and 18% y/y reaching 13,092 tons. Prices are however expected to move sideways with some upside potential due to moderation in supplies.
- **Onions**
  Onion prices decreased slightly due to limited uptake on markets. Prices decreased to R1,989/ton, down 2.8% w/w and 22.7% y/y. Volumes traded declined by 6.8% w/w and 11.1% y/y reaching 3,870 tons. Prices are however expected to ease somewhat in the short term with limited upside potential as supplies recover.
- **Carrots**
  Carrot prices decreased sharply due to weak uptake on markets. Prices decreased by 7% w/w but were still up 20.3% y/y, closing at R2, 507/ton. Volumes traded reached 1,347 tons, up 3.2% w/w but down 14.2% y/y. Prices are expected to remain firm due to limited supplies on markets.
- **Cabbages**
  Cabbage prices posted modest losses on limited demand on markets. Prices declined by 11.9% w/w but were still up 18.2% y/y, closing at R1,324/ton. Volumes traded reached 1,491 tons, up 5.4% w/w and 0.4% y/y. Prices are expected to move sideways in the short term.

Vegetable prices: Fresh Produce Markets.
(Average Pretoria, Bloemfontein, Johannesburg, Cape Town and Durban)

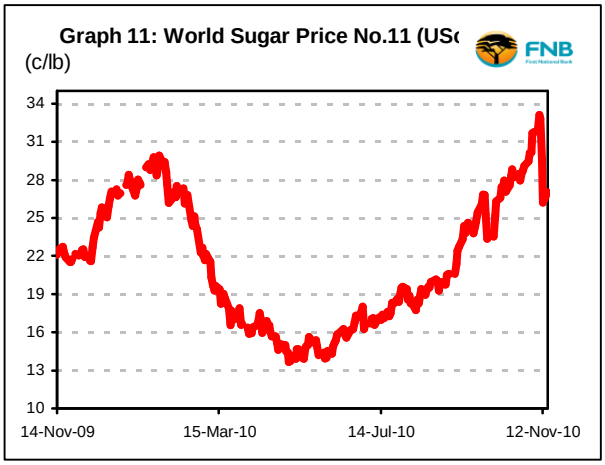
Week ending 12 November 2010	Average Price (R/t)	*w/w*	*y/y*	Total Volume (t)	*w/w*	*y/y*
Tomato	3,043	11.0%	-18.7%	4417	-11.6%	5.1%
Potato	2,108	-20.1%	-39.8%	13092	3.6%	18.0%
Onion	1,989	-2.8%	-22.7%	3870	-6.8%	-11.1%
Carrot	2,507	-7.0%	20.3%	1347	3.2%	-14.2%
Cabbage	1,324	-11.9%	18.2%	1491	5.4%	0.4%

** Daily prices also available at https://www.fnbagricomms.co.za*

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Sugar market trends (Graph 11)



- International: World sugar prices were under pressure most of the week due to spill over weakness in the equity markets. Weekly prices however ended a bit firmer at 30.73 US cents per pound, up 0.3% w/w. Weekly US ICE sugar futures were down across the board: Raw sugar for Mar-11 delivery dropped sharply by 17.8% w/w at 26.21c/lb, May-11 was down 18.3% w/w at 23.89c/lb, Jul-11 was down 19.5% w/w at 21.12c/lb, May-12 was down 16% w/w at 17.83c/lb.
- Domestic: The monthly 2010/11 RV (Recoverable Value) price, a measure of the value of the sugar and molasses that will be recovered from the sugar cane delivered by the individual grower, was unchanged at R2,569.55/ton during September, according to the Cane Growers report. A drop of 34,439 tons in sugar production, the lower weighted average world market prices (US19.89c/lb vs. US20.31c/lb) and the firmer weighted average Rand/ US$ exchange rate (R7.44 vs. R7.53/US$) and the lower sugar: RV ratio (93.94% vs 94.19%) impacted of the price.

ICE Sugar Futures 12 November 2010	Mar-11	May-11	Jul-11	Oct-11	Mar-12
Sugar No.11 (US c/lb)	26.21	23.89	21.12	19.66	18.83
% Change w/w	-17.8%	-18.3%	-19.5%	-19.4%	-18.4%

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